capital goods and rise in price of the same.

d. Increase in Public Expenditure

Increase in government expenditure over its income, leads to deficit budget. Increase in government spending increases the demand for consumption and capital goods and services. It increases the price of both goods and services.

e. Repayment of Public Debt

The repayment of public debt borrowed by the government to public leaves people with more money. It induces people to spend more. It ultimately leads to increase in price of goods and services.

Factors Affecting Supply

a. Shortage of Factors of production

The shortage in the factors of production viz., land, labour, and capital increases the cost of production. For example, shortage in the labour leads to higher wages. It increases the cost of production and price of goods and services.

b. Industrial Disputes

Industrial disputes lead to strike or lay off. It affects the production and supply of goods. It results in increased prices.

c. Natural Calamities

Natural calamities like earthquake, land slide and tsunami, affect production and supply of goods and services. The end result is price rise.